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5 Post Office schemes *worth knowing.*

Rates, limits, lock-ins and who each one suits. Updated for October to December 2026.

You commented "PDF", so here it is. Most people park their safe money in a savings account or a bank FD and never look further. The Post Office runs five schemes that often pay more, carry a Government of India guarantee, and start from small amounts. This guide puts all five on one page, works out what they actually pay, and walks you through opening one.

1. **Safe does not have to mean low.** Rates run from 6.9% to 8.2% a year, set by the government every quarter.
2. **Each scheme has one job.** Monthly income, a parent's retirement, a daughter's future, a fixed lump sum. Pick by the job, not by the rate.
3. **Lock the rate when it is good.** In four of the five, the rate on the day you open stays fixed for the full term.

TOP RATE	START FROM	MIS ON ₹9 LAKH	RATES VALID TILL
8.2%	₹250	₹5,550/m	31 Dec

PART 1 · ALL FIVE AT A GLANCE

The five schemes *on one page*

Rates for 1 October to 31 December 2026, as notified by the Ministry of Finance. They are unchanged from the previous quarter.

1 Rates, lock-ins and limits

SCHEME	RATE	LOCK-IN	MINIMUM	MAXIMUM
Time Deposit (TD)	**6.9% to 7.5%**	1, 2, 3 or 5 years	₹1,000	No limit
Monthly Income Scheme (MIS)	**7.4%**	5 years	₹1,000	₹9 lakh single, ₹15 lakh joint
Senior Citizen Savings Scheme (SCSS)	**8.2%**	5 years	₹1,000	₹30 lakh
Sukanya Samriddhi Yojana (SSY)	**8.2%**	Till the girl turns 21	₹250 a year	₹1.5 lakh a year
National Savings Certificate (NSC)	**7.7%**	5 years	₹1,000	No limit

Source: Ministry of Finance small savings rate notification for Q3 FY 2026-27, as reported by India Post and rate trackers. Rates are per year.

2 Time Deposit rates by tenure

TENURE	RATE	YEARLY INTEREST ON ₹1 LAKH
1 year	**6.9%**	**₹7,081**
2 years	**7.0%**	**₹7,186**
3 years	**7.1%**	**₹7,291**
5 years	**7.5%**	**₹7,714**

TD interest is compounded every quarter and paid out once a year, so the yearly payout is a little above the headline rate.

> THE ONE THING TO NOTICE
>
> The two 8.2% schemes are not open to everyone. SCSS needs you to be 60 or older, and SSY is only for a girl child under 10. For everyone else, the best fixed rate here is NSC at 7.7%.

PART 2 · FOR A LUMP SUM OR A MONTHLY INCOME

Time Deposit and *Monthly Income Scheme*

These two are for anyone, any age. One grows a lump sum for a fixed time, the other turns it into a monthly payout.

3 Time Deposit ANYONE

RATE	TENURE	MINIMUM	MAXIMUM
6.9% to 7.5%	1 to 5 yrs	₹1,000	No limit

- **Works like a bank FD.** You deposit once, choose the tenure, and the rate is fixed for that tenure.
- **Interest is paid yearly.** On ₹1 lakh in the 5-year TD, that is about ₹7,714 a year, or ₹38,568 over 5 years.
- **Only the 5-year TD gets the Section 123 tax deduction** (earlier called 80C, old tax regime). The 1, 2 and 3-year options do not.
- **Need the money early?** The 1, 2 and 3-year TDs can be closed after 6 months, at a lower rate. The 5-year TD can be closed only after 4 years.

4 Monthly Income Scheme ANYONE

RATE	LOCK-IN	SINGLE MAX	JOINT MAX
7.4%	5 years	₹9 lakh	₹15 lakh

YOU DEPOSIT	PAID TO YOU EVERY MONTH	OVER 5 YEARS
₹1 lakh	₹617	₹37,000
₹9 lakh (single max)	₹5,550	₹3,33,000
₹15 lakh (joint max)	₹9,250	₹5,55,000

Deposit × 7.4% ÷ 12. Your deposit comes back in full after 5 years. Interest is fully taxable.

> A SHORTCUT I USE NOW
>
> MIS interest lands in your Post Office savings account every month. If you do not need it yet, set up a Post Office RD with it, so the monthly payout keeps earning instead of sitting idle.

PART 3 · FOR PARENTS AND DAUGHTERS

The two *8.2% schemes*

The highest rates in the list, each with a clear eligibility rule. If someone in your family fits, these are worth a close look.

5 Senior Citizen Savings Scheme

60 AND ABOVE

RATE	LOCK-IN	MINIMUM	MAXIMUM
8.2%	5 years	₹1,000	₹30 lakh

- **Who can open:** anyone 60 or older. Those who retired between 55 and 60 can also open it, if they invest within three months of getting their retirement benefits. Retired defence personnel can open it from 50.
- **Interest is paid every quarter.** ₹10 lakh pays ₹20,500 a quarter. The full ₹30 lakh pays ₹61,500 a quarter.
- **Can be extended** in blocks of 3 years after the first 5 years end.
- **Deposit gets the Section 123 deduction** (old tax regime). Interest is taxable.

6 Sukanya Samriddhi Yojana

GIRL CHILD UNDER 10

RATE	PAY IN FOR	YEARLY MIN	YEARLY MAX
8.2%	15 years	₹250	₹1.5 lakh

- **Opened by a parent** in the daughter's name, before she turns 10. Up to two daughters per family.
- **You deposit for 15 years.** The account keeps earning until it matures at 21 years from opening.
- **Tax-free on all three counts:** deposit (Section 123, old regime), interest and maturity amount.
- **Partial withdrawal of up to 50%** once she turns 18, for higher education.

IF YOU DEPOSIT	TOTAL PAID IN	COULD BECOME AT 21 YEARS
₹1,000 a month	₹1,80,000	₹5.75 lakh
₹1.5 lakh a year (max)	₹22,50,000	₹71.8 lakh

Assumes the deposit is made at the start of each year and 8.2% holds for all 21 years. SSY's rate is reviewed every quarter, so the real figure will differ.

PART 4 · FOR A FIXED 5-YEAR LUMP SUM

National Savings *Certificate*

The best fixed rate open to everyone, with the interest added back to your money every year instead of being paid out.

7 How NSC works

ANYONE

RATE	LOCK-IN	MINIMUM	MAXIMUM
7.7%	5 years	₹1,000	No limit

- **Interest compounds yearly** and is paid with your deposit at the end of 5 years.
- **Deposit gets the Section 123 deduction** (old tax regime). The interest earned in years 1 to 4 counts as reinvested, so it also qualifies.
- **No early exit.** It can be closed early only in special cases, such as the holder's death or a court order. Put in only what you will not need for 5 years.

8 What ₹1 lakh becomes in 5 years

YEAR	VALUE AT YEAR END	INTEREST THAT YEAR
Year 1	₹1,07,700	₹7,700
Year 2	₹1,15,993	₹8,293
Year 3	₹1,24,924	₹8,931
Year 4	₹1,34,544	₹9,619
Year 5	₹1,44,903	₹10,360

₹1,00,000 × 1.077 each year. Interest is taxable in your slab, even though you receive it only at maturity.

> THIS TOOK ME A WHILE TO GET
>
> The rate you see today stays fixed for the full term in TD, MIS, SCSS and NSC. Only SSY moves every quarter. So if rates fall next year, money already in these four keeps earning today's rate.

PART 5 · PICKING AND OPENING ONE

Which one *fits your goal*

Start with what the money is for. The scheme follows from that.

9 Match the scheme to the job

IF YOU WANT	LOOK AT	WHY
A fixed amount every month	MIS	Pays out monthly, deposit returns after 5 years
Steady income for a parent 60+	SCSS	8.2%, paid every quarter
A fund for your daughter	SSY	8.2%, fully tax-free, runs 21 years
Grow a lump sum for 5 years	NSC	7.7% compounded, everyone can open
Park money for 1 to 3 years	TD	Short tenures, works like an FD

10 How to open an account

1. **Go to your nearest Post Office** with your original documents. SCSS and SSY can also be opened at many banks authorised to run them.
2. **Carry KYC.** Aadhaar, PAN and two passport-size photos. For SSY, add the girl's birth certificate. For SCSS, proof of age.
3. **Open a Post Office savings account first** if you do not have one. It is the simplest place to receive MIS and SCSS interest, though a bank account can also be linked.
4. **Fill the scheme's account opening form** and add a nominee. Do not skip the nominee.
5. **Pay by cheque, or cash for small amounts.** Keep the passbook or certificate safe, and note the maturity date in your calendar.

> ABOUT "MORE THAN AN FD"
>
> Whether these beat an FD depends on which bank and which tenure you compare. Some banks pay close to these rates. The real difference is safety: Post Office schemes carry a Government of India guarantee on the full amount, while bank deposits are insured up to ₹5 lakh per bank. Check your bank's current rate before deciding.

What you keep *after tax*

The headline rate is before tax. For most people in the 20% or 30% slab, what you actually keep is noticeably lower.

11 Tax treatment, side by side

SCHEME	SEC 123 ON DEPOSIT	INTEREST	MATURITY
TD (5-year)	Yes	Taxable	Deposit back, not taxed
TD (1 to 3 years)	No	Taxable	Deposit back, not taxed
MIS	No	Taxable	Deposit back, not taxed
SCSS	Yes	Taxable, TDS above ₹1 lakh a year	Deposit back, not taxed
SSY	Yes	Tax-free	Tax-free
NSC	Yes	Taxable, years 1 to 4 also count for Sec 123	Interest taxable

From April 2026 the Income-tax Act, 2025 renamed Section 80C as Section 123. The deduction (up to ₹1.5 lakh a year, shared with PF, PPF, ELSS and others) applies only in the old tax regime. Under the new regime there is no deduction, though the tax-free status of SSY still holds.

12 Habits that keep this simple

1. **Check the rate every quarter.** The government announces new rates near the end of March, June, September and December.
2. **Know your exit cost before you lock in.** MIS cuts 1% to 2% of the deposit if you close early, SCSS cuts 1% to 1.5%, and NSC cannot be closed early in normal cases.
3. **Ladder your deposits.** Instead of one big 5-year deposit, split it across tenures so some money frees up every year.
4. **Use them for safe money, not all money.** These protect capital. For goals 7 to 10+ years away, the fixed rate may not keep up with inflation by much.

> WHAT FINALLY SETTLED IT FOR ME
>
> A good rate is not enough on its own. Ask three things: Who can open it? How long is my money locked? What do I keep after tax? Answer those, and the right scheme picks itself.

WORDS YOU'LL HEAR

The glossary, *in plain words*

The terms you will see on the Post Office forms and rate notices.

Small savings schemes

GOVT-RUN DEPOSITS

Savings schemes run by the Government of India through the Post Office and some banks.

"Arasaanga nadathura safe savings."

Rate of interest

YEARLY RETURN

The percentage your money earns each year, set by the Ministry of Finance every quarter.

"Varushathukku evvalavu vaddi."

Lock-in period

MINIMUM STAY

How long your money must stay in before you can take it out without a penalty, or at all.

"Intha kaalam varaikum edukka mudiyathu."

Maturity

END OF TERM

The date the scheme ends and you get your money and interest back.

"Panam thirumba kaila varra naal."

Compounding

INTEREST ON INTEREST

Interest is added to your balance, and next year's interest is calculated on the bigger amount.

"Vaddikku mela vaddi."

Payout

INTEREST PAID OUT

Interest sent to your account at fixed intervals, like monthly in MIS or quarterly in SCSS.

"Maasa maasam account-ku varum."

Joint account

TWO OR THREE HOLDERS

One account held by up to three adults together. SCSS allows only your spouse. MIS allows a higher limit for joint accounts.

"Rendu peru serthu open pannalam."

Premature closure

EXIT BEFORE MATURITY

Closing the account early. Usually allowed after a minimum time, with a penalty or lower rate.

"Munnadiye close panna penalty."

Section 123

EARLIER CALLED 80C

Lets you reduce taxable income by up to ₹1.5 lakh a year for eligible investments. Old regime only.

"Tax kammi panna udhavum."

TDS

TAX DEDUCTED AT SOURCE

Tax cut from your interest before it reaches you, when it crosses a set limit.

"Munnadiye tax pudichiruvanga."

Nominee

WHO GETS IT NEXT

The person who receives the money if the account holder passes away. Always add one.

"Unga kaapukku oru per."

KYC

KNOW YOUR CUSTOMER

The identity check needed to open any account: Aadhaar, PAN and photos.

"Neenga yaarunu proof."

Sovereign guarantee

GOVT-BACKED

The Government of India promises to repay. This is why these schemes are considered very safe.

"Government-e guarantee kudukkum."

Laddering

STAGGERED DEPOSITS

Splitting money across different tenures so some of it matures every year.

"Konjam konjama pirichu podurathu."

Old vs new regime

TWO TAX SYSTEMS

You choose one each year. The old one allows deductions like Section 123; the new one has lower rates and few deductions.

"Rendula onna choose pannanum."

SOURCES AND DISCLAIMER

How the *numbers* were worked out

Every rate and limit comes from the official notification or India Post rules. Every rupee figure was calculated in a script, not by hand.

1. **Interest rates:** Ministry of Finance (Department of Economic Affairs) notification dated 30 September 2026, rates for 1 October to 31 December 2026, unchanged from July to September 2026. Cross-checked against India Post's published rate table.
2. **Deposit limits and eligibility:** India Post scheme rules for TD, MIS, SCSS, SSY and NSC (minimums, maximums, age rules, tenure).
3. **Time Deposit payouts:** ₹1,00,000 × $((1 + \text{rate} \div 4)^{4} - 1)$, since TD interest compounds quarterly and is paid yearly. 5-year TD at 7.5% gives ₹7,714 a year.
4. **MIS payouts:** deposit × 7.4% ÷ 12. ₹9,00,000 gives ₹5,550 a month.
5. **SCSS payouts:** deposit × 8.2% ÷ 4. ₹10,00,000 gives ₹20,500 a quarter.
6. **NSC:** ₹1,00,000 × 1.077^{5} = ₹1,44,903, compounded yearly.
7. **SSY projection:** deposits at the start of each year for 15 years, growing at 8.2% compounded yearly until year 21. Assumes the rate never changes, which it will.
8. **Tax rules:** Income-tax Act, 2025 (in force from 1 April 2026), where the old Section 80C is now Section 123 with the same ₹1.5 lakh limit; TDS on interest for senior citizens (₹1 lakh a year threshold); SSY's exempt status.
9. **Bank deposit insurance:** DICGC cover of ₹5 lakh per depositor per bank.

DISCLAIMER

This guide is for education only. It is not investment, tax or legal advice, and it does not recommend any specific scheme, bank or product. I am not a SEBI-registered investment adviser. Small savings rates are revised every quarter and the rates here apply only to deposits made between 1 October and 31 December 2026. Projections are examples, not promises. Check the current rates and rules with India Post or your bank, and speak to a SEBI-registered adviser or a tax professional before acting.

Which scheme are you opening first? *Tell me* in the comments.

Free to share. Made by Abinash at **@buildwithabinash**. Send this to a friend whose money is sitting in a savings account doing nothing, or to someone planning for their parents or daughter.